

extensively captured by their own sales oratory. James Roosevelt, a son of F.D.R., formerly a distinguished member of Congress and an ambassador to the United Nations; Sir Eric Wyndham White, a highly regarded international civil servant and longtime secretary-general of GATT (the General Agreement on Tariffs and Trade); and Dr. Erich Mende, a former vice-chancellor of the German Federal Republic, all lent their names in evident good faith to the enterprise. They and thousands of others responded happily to the compelling Cornfeld appeal, “Do you sincerely want to be rich?”

This was to be to their eventual regret. Invited to join the board of directors by James Roosevelt, I had declined. I had a general rule against serving on corporate boards, and it had been powerfully reinforced in this case by more specific misgivings emerging from both the comments of Swiss bankers of my acquaintance and my own knowledge of the perils of such enterprises. To have so served would, one cannot doubt, have had certain adverse effects on my economic reputation. Readers would have been spared this treatise.



Robert Vesco, the fugitive financier who has been given refuge in Cuba, took control of Investors Overseas Services in 1971.

In 1969, declining sales and securities prices worked their way back through the sales organization with highly leveraged reverse effect. Desperate efforts to hold up values by inside purchase failed, as was inevitable given the flooding disenchantment. Cornfeld was persuaded, it seems unfortunately, to yield the substantial remaining assets to Robert Vesco. Such is the latter’s financial reputation that he has wisely avoided American residence ever since. Bernard Cornfeld himself was not charged